In re MATTER OF ZAMORA

19PR8129 (Related to 16CV41649)

RESPONDENT'S MOTION TO QUASH

This is a special probate proceeding to enjoin non-party Clyde Clapp from selling property in which decedent owns an equitable interest. Before the Court is a motion by respondent to "quash personal jurisdiction" and effectively block petitioner's efforts to serve respondent with a preliminary injunction. Although the Notice for this motion fails to comply with Calaveras County Superior Court Local Rule 3.3.7 (adopted 1/1/18), this Court elects to proceed given the time-sensitive nature of this anomalous proceeding.

In November of 2007, Gus Zamora (father), Dave Zamora (son) and Clyde Clapp (Gus' close friend) pooled together their respective resources to acquire APN 073-044-006, commonly known as 1521 Country View Drive in Valley Springs. [Because of the common last names, the court will refer to the parties by their first names in this ruling without intending any disrespect.] Each party contributed approximately $44,000.00 to the down payment, with the balance of the $415,000 purchase price covered by a loan from Indymac. Over the years, the parties contributed different efforts to the joint venture, and eventually a second rental dwelling was completed on the property. Shortly after the second dwelling was rented, a disagreement arose between the parties regarding contributions and sweat equity, prompting Gus to file a lawsuit against Clyde (16CV41649). Given to his advanced years (91) and diminishing health, Gus was represented throughout most of the case by his son Dave, in the latter's capacity as a guardian *ad litem*.

The dispute was tried to this Court in April of 2021. Following witness testimony and the admission of nearly 200 exhibits, this Court reached the following material conclusions:

- A partnership was established between Gus, Dave, and Clyde to acquire and improve the subject property as an investment vehicle;
- The partnership was not impliedly terminated after Gus and Dave stopped making financial contributions to the ongoing operations;
- Clyde breached his fiduciary duties to the other partners (Gus and Dave) by:
    - Taking title to the property in his name alone (even though Clyde contended that the decision was mutual related to Gus' credit issues);
    - Refinancing the property in his own name (even though Clyde contended that refinancing to reduce the interest rate was beneficial for all); and
    - Renting the second dwelling and not sharing that profit with Gus or Dave.
- The statute of limitations was equitably tolled;
- Clyde's actions constituted elder financial abuse;

Judgment was entered for plaintiff. This Court ordered that the subject property was to be sold, with Clyde taking 1/3 of the net proceeds and plaintiff to receive the balance. The parties were ordered to work out a plan for selling the property. The Court further found that plaintiff was entitled to 2/3 of the rent receipts from the second property, as well as "costs and attorney fees." Plaintiff never submitted a Memorandum of Costs or a motion for attorney fees. Clyde filed an appeal (which is still active). Gus died on 12/06/18 while the civil action was ongoing. Dave commenced 19PR8129 with both a petition for appointment as special administrator and an *ex parte* application for an immediate appointment to substitute in as plaintiff. The petition and application were summarily approved. Since commencing the probate action, Dave has not filed an Inventory and Appraisal or any Probate Code 12200 status report. Nothing has occurred in the probate case save for the *ex parte* issuance, on 06/16/22, of a preliminary injunction ostensibly barring Clyde from selling the property.

The motion presently before this Court to "quash" personal jurisdiction over Clyde is premature and unnecessary. Pursuant to CCP §418.10, a party may make a motion to quash service of summons if that party believes that the court lacks personal jurisdiction over them. There is no summons to quash because there is no summons on file in the Register of Action and, as far as this Court knows, petitioner never attempted to serve Clyde with a summons for the probate case. Clyde is not a party to the probate case, but if Clyde were to be served with a summons, it is beyond question that he has sufficient minimum contacts with California to support the exercise of personal jurisdiction over him. (See *Pavlovich v. Superior Court* (2002) 29 Cal.4th 262, 269; *Epic Communications, Inc. v. Richware Technology, Inc.* (2009) 179 Cal.App.4th 314, 329-331.) In order to give practical effect to this Court's 06/16/22 order, Dave will need to serve Clyde with both a summons and the order in one of the enumerated methods consistent with due process. (This Court is not being asked to decide whether Clyde's appearance through counsel in the probate case on 06/14/22 was sufficient to submit for personal jurisdiction purposes.) Thus, the onus remains on Dave to effectuate service and bind Clyde to the order.

However, before more effort is expended with litigation, the parties are reminded that this Court merely ordered the parties to "meet and confer concerning methodology for market and sale of the property and the distribution of the proceeds." (Judgment 7:16-17.) By issuing the preliminary injunction, it was this Court's intention to maintain the status quo by reminding Clyde that he is required to work with Dave on selling the property (and not again proceed on a unilateral basis). By taking this property to market on 04/21/22, Clyde was acting (as before) as if the Zamora family had no claims on the property; this time in direct contravention of this Court's findings and Order. Although Clyde's appeal could in theory upend the "meet and confer" and "distribution" aspects of the Judgment, and render the recent preliminary injunction moot, Clyde's apparent desire to proceed with the sale is not itself something that the appeal automatically stays. Perfecting an appeal stays proceedings *in the trial court* which are embraced in or affected by the issue currently up on appeal. (CCP §916(a).) The purpose of the automatic stay provision is to protect the appellate court's jurisdiction by preserving the status quo until the appeal is decided. Whether a matter is “embraced” or “affected” within the meaning of section 916 depends on whether the matter would impact the overall effectiveness of the appeal. (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 189-191; *Gridley v. Gridley* (2008) 166 Cal.App.4th 1562, 1587; *Reed v. Superior Court* (2001) 92 Cal.App.4th 448, 453–455.) If Clyde still wants to sell the property, and Dave never challenged the order to sell in the trial court, nothing about the appeal touches that. Moreover, while the Court of Appeal could in theory give Clyde the option to sell or not, since Clyde never moved for JNOV in the trial court, it seems to this Court that Clyde’s best day on appeal is a do-over from scratch (aka, new trial). If both Clyde and Dave want the property sold (it has apparently now been removed from the market after 60 days of exposure), they should work together and make that happen , as was this Court’s express intent; alternatively, if Clyde no longer wants to sell, then everything remains on hold until the appeal is resolved.

The Clerk shall provide notice of this Ruling to the parties forthwith. No further formal order is required.